

# The American Dream in Historical and International Perspective

## Economics of Public and Social Issues

Jonathan Moreno-Medina

ECO3253, UTSA

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# Plan for today

1. Historical comparison of intergenerational mobility
2. International comparison of intergenerational mobility

## Historical comparison of intergenerational mobility

# Trends in Mobility Over Time

- ▶ Thus far, we have focused primarily on a snapshot of rates of upward mobility for children growing up in America today
- ▶ As we just discussed, a historical perspective is often useful in understanding determinants of current outcomes
- ▶ We cannot yet study trends in mobility by neighborhood, but we have made progress in understanding mobility over time at the national level



# A Historical Perspective on the American Dream

- ▶ Historically, American Dream has been defined as the aspiration that children should have higher standards of living than their parents
- ▶ When asked to assess economic progress, children frequently compare their earnings to their parents [Goldthorpe 1987]
- ▶ Obama (2014): “People’s frustrations are partly rooted “in the fear that their kids won’t be better off than they were”
- ▶ What fraction of children earn more than their parents, and how has this changed over time?  
*Reference: Chetty, Grusky, Hell, Hendren, Manduca, Narang. “The Fading American Dream: Trends in Absolute Income Mobility Since 1940.” Science 2017.*

# Data issues



**SOCIAL MOBILITY MEMOS**

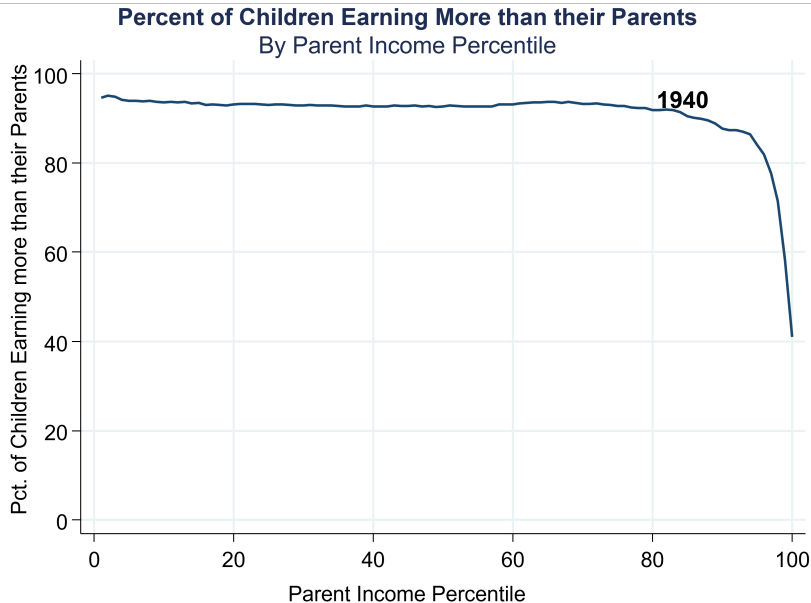
**How many people are better off than their parents? Depends on how you cut the data.**

**Dimitrios Halikias and Richard V. Reeves** · Wednesday, August 10, 2016

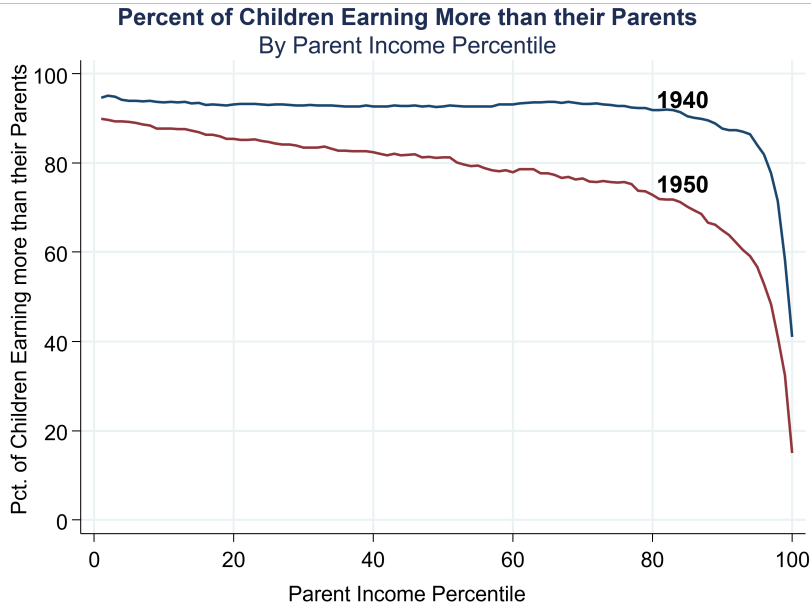
# Measuring the American Dream

- ▶ Key challenge: don't have data linking parents to kids historically
- ▶ Chetty et al. (Science, 2017) develop a method of estimating historical rates of mobility even in the absence of parent-child links
- ▶ First describe basic results and then explain methodology

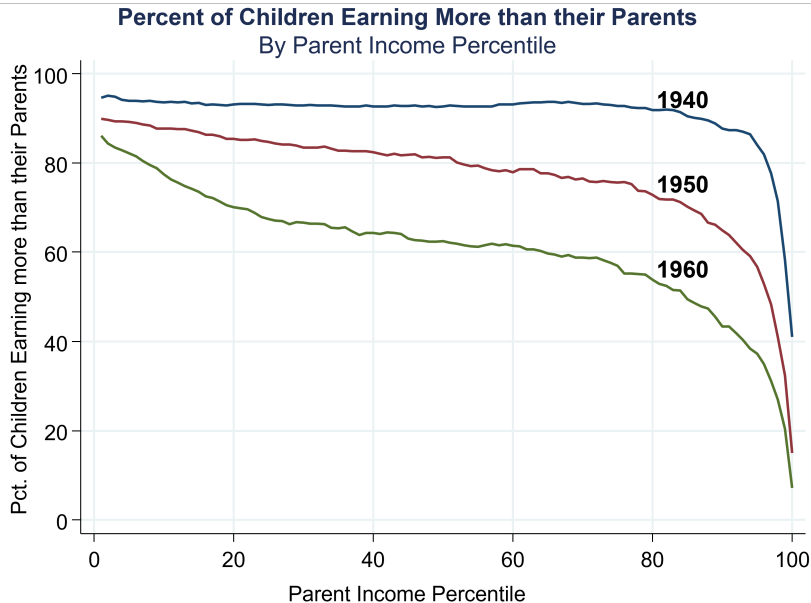
# Percent of Children Earning More than their Parents



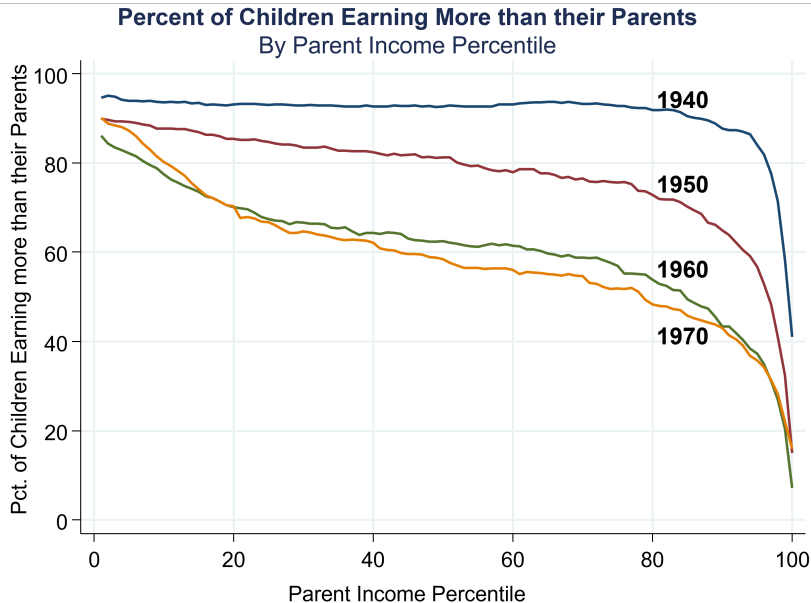
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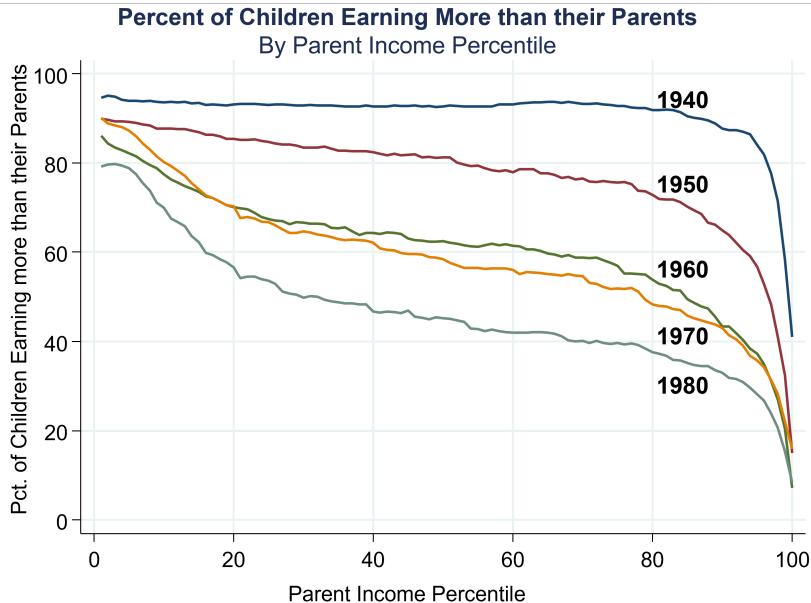
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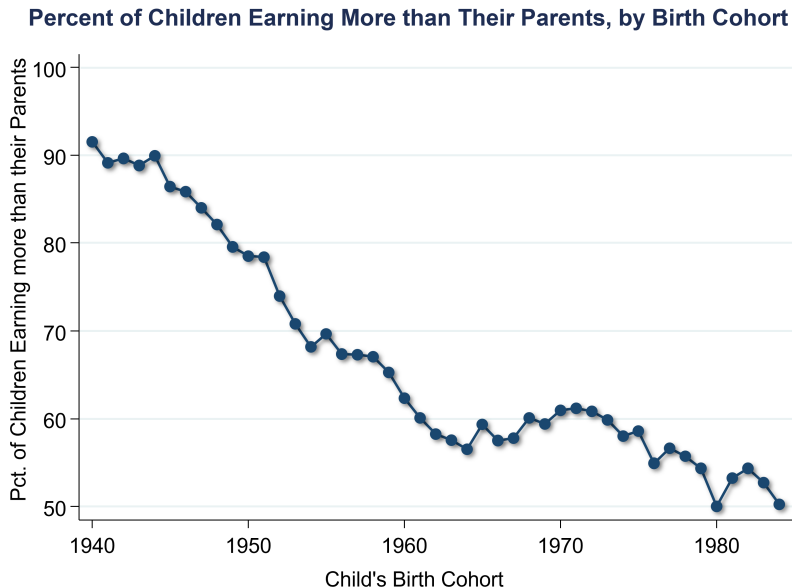


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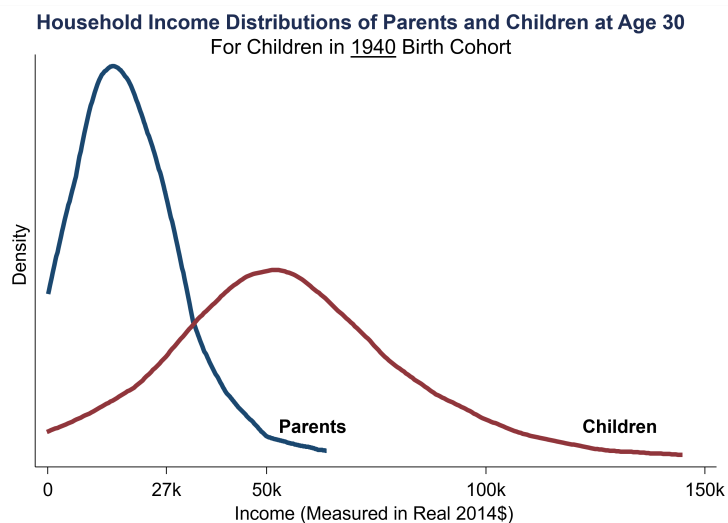
# Percent of Children Earning More than Their Parents, by Birth Cohort



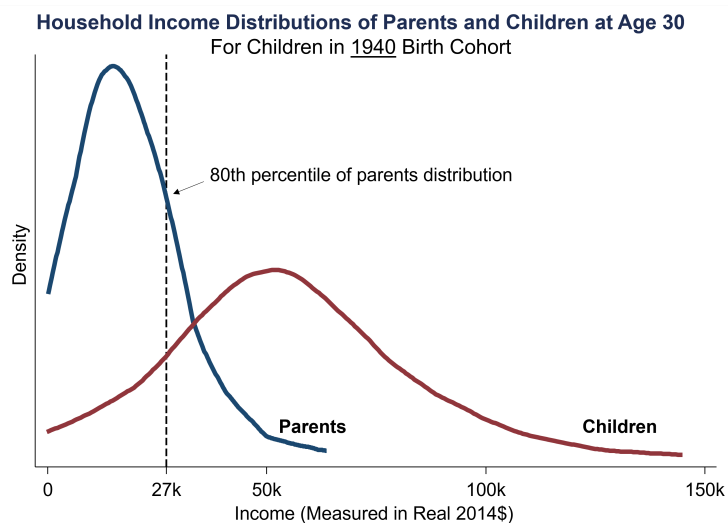
## Methodology: Constructing Historical Estimates of Mobility

- ▶ Researchers are able to get reliable estimates of mobility even though we do not have historical data linking kids to parents
- ▶ Fundamental reason: almost all kids born in 1940 earned more than all parents does not matter which kids are born to which parents

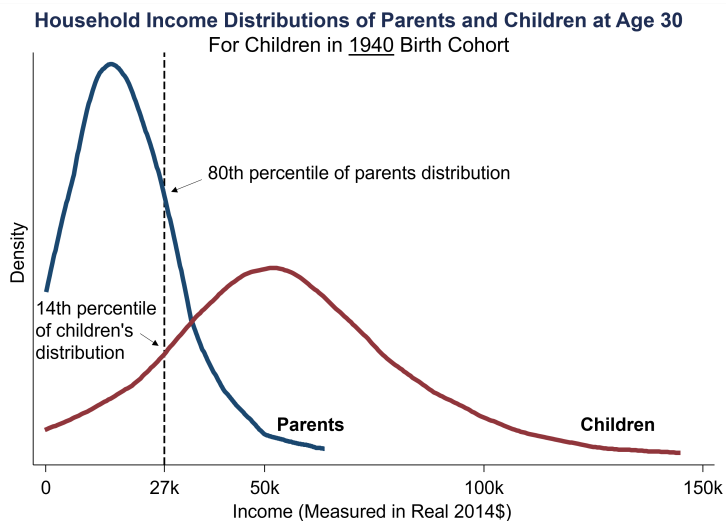
# Household Income Distributions of Parents and Children at Age 30 (Children in 1940 Birth Cohort)



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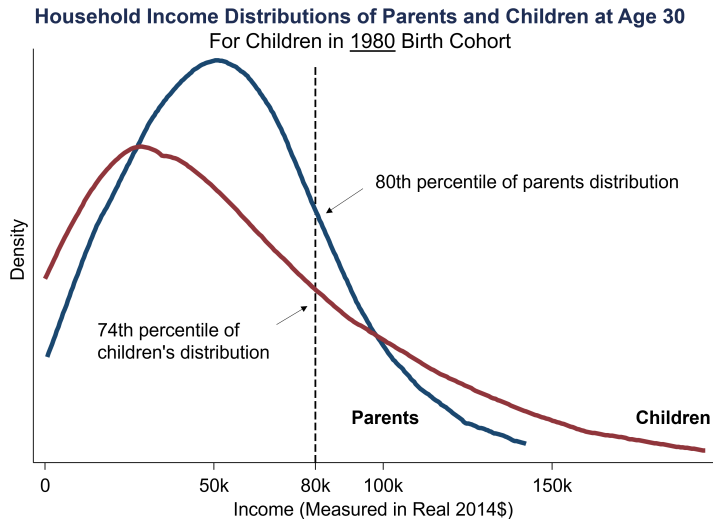
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## Methodology: Constructing Historical Estimates of Mobility

- ▶ We are able to get reliable estimates of mobility even though we do not have historical data linking kids to parents
- ▶ Fundamental reason: almost **all** kids born in 1940 earned more than **all** parents → does not matter which kids are born to which parents
- ▶ This is **not** the case for kids born in 1980s, but fortunately we have data linking kids to parents for that generation

# Household Income Distributions of Parents and Children at Age 30 (Children in 1980 Birth Cohort)



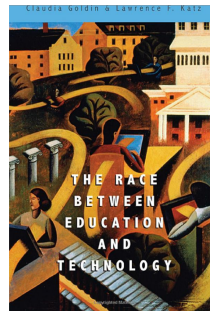
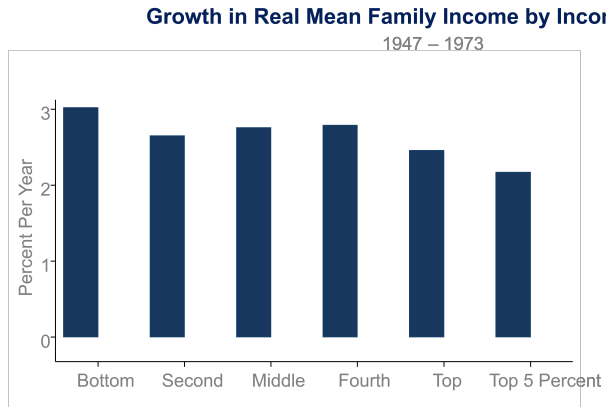
# What Policies Can Increase Absolute Mobility?

- ▶ Two major changes in American economy since 1940: lower total economic growth rates and less equal distribution of growth



# Growth in Real Mean Family Income by Income Quintile

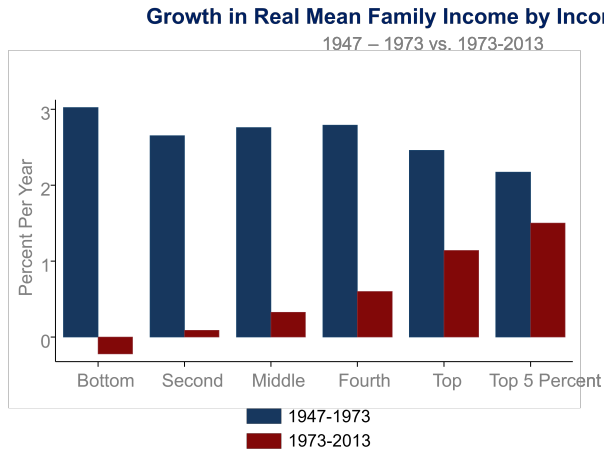
1947-1973



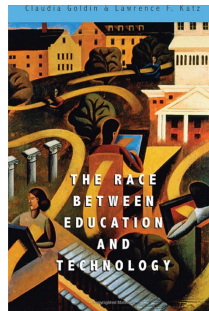
Source: Goldin and Katz (2007)

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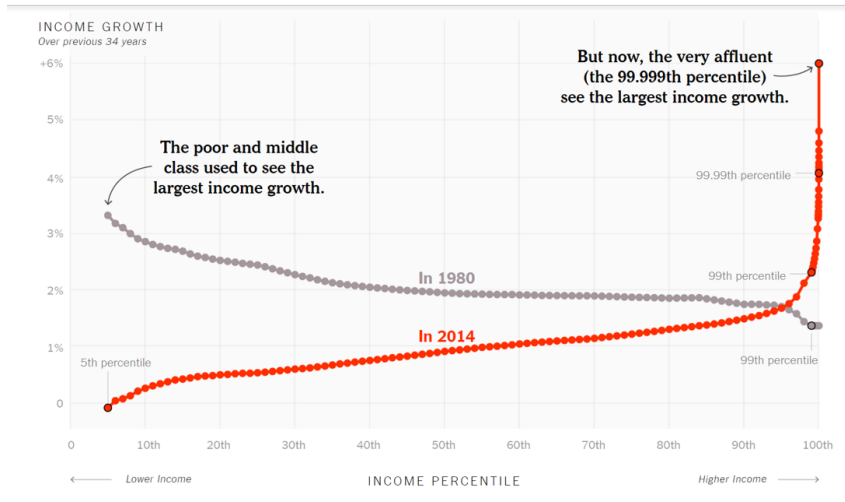
1947-1973 vs. 1973-2013



Source: Goldin and Katz (2007)

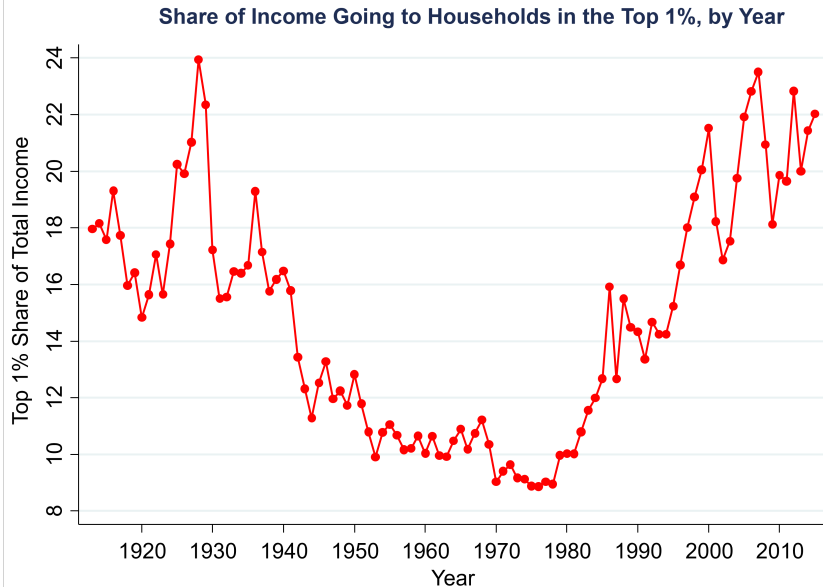


# Income growth by percentile



Note: Inflation-adjusted annual average growth using income after taxes, transfers and non-cash benefits.

# Share of Income Going to Households in the Top 1%, by Year

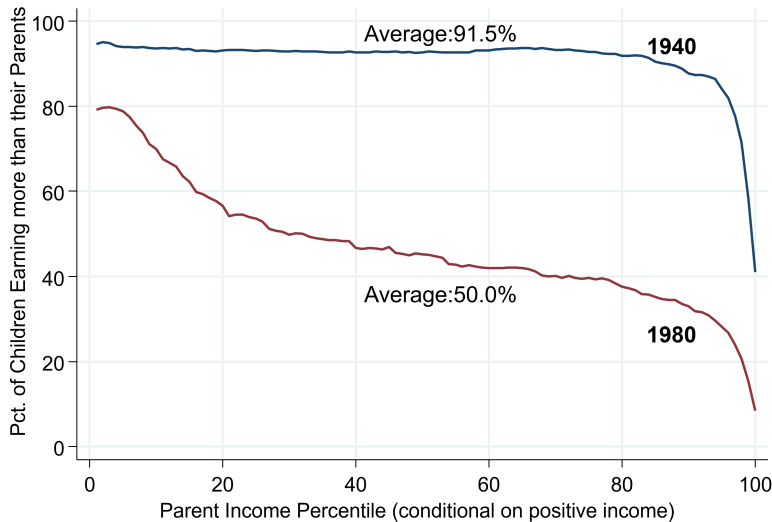


# What Policies Can Revive Absolute Mobility?

- ▶ Two major changes in American economy since 1940: lower total economic growth rates and less equal distribution of growth
- ▶ Consider two hypothetical scenarios for children born in 1980:
  1. Higher growth: growth rate since birth corresponding to 1940 cohort, with income distributed as it is today
  2. More broadly shared growth: Same growth rates as today, but distributed across income groups as in 1940 cohort

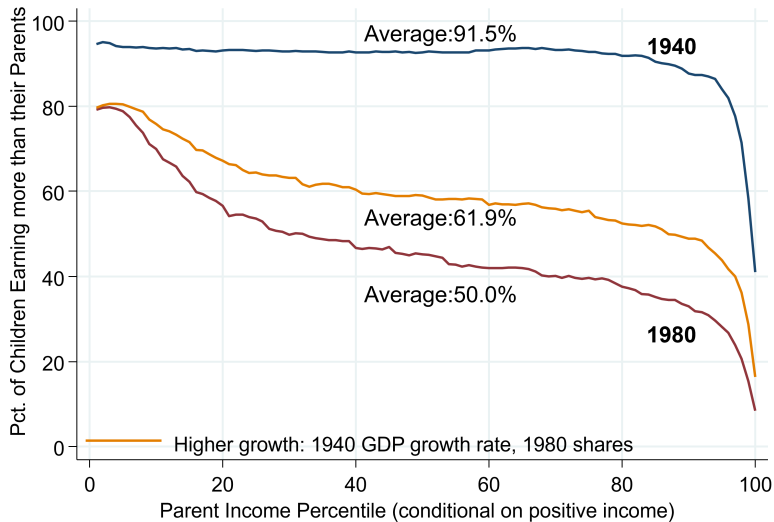
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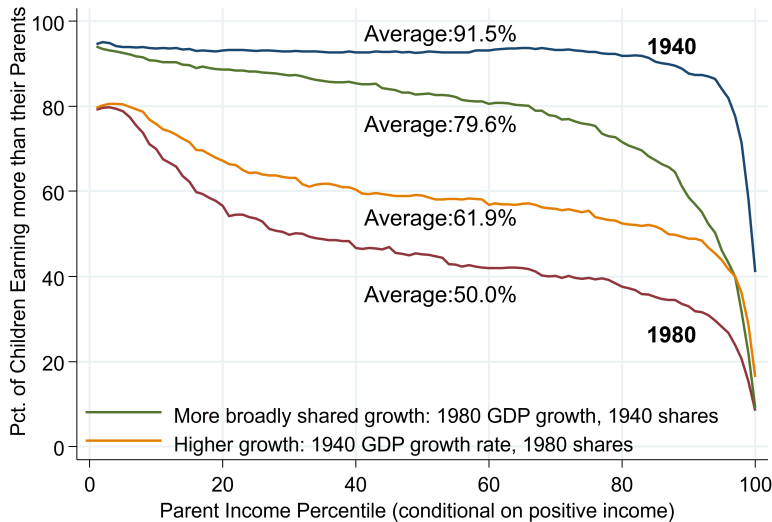
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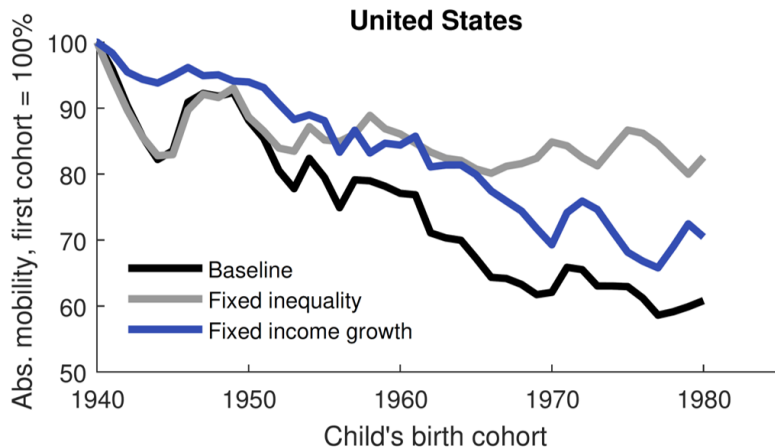


# International comparison of intergenerational mobility

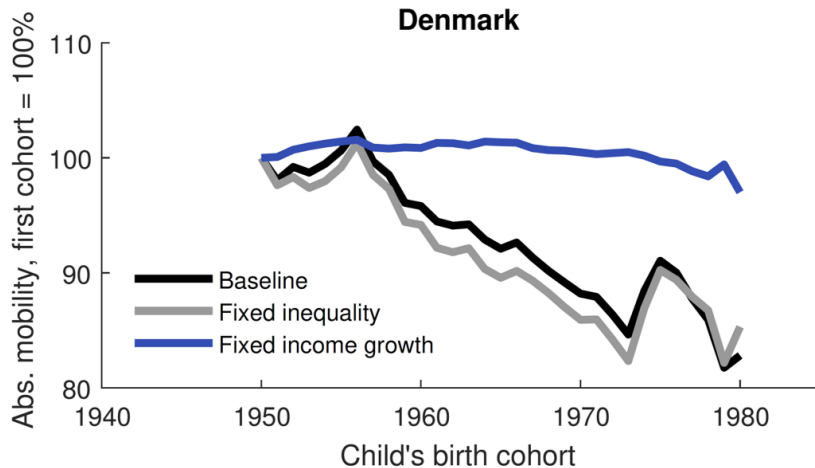
# Trends in Upward Mobility: International Comparisons

- ▶ Recap of last lecture: fraction of children earning more than their parents fell from 90% for those born in 1940 to 50% for those born in 1980
- ▶ Two-thirds of this decline was due to changes in the distribution of growth and one-third was due to slowing overall growth rate of American economy
- ▶ How does the American experience compare to other countries?
- ▶ Berman (2018) applies methodology of Chetty et al. (Science, 2017) in other countries to answer this question

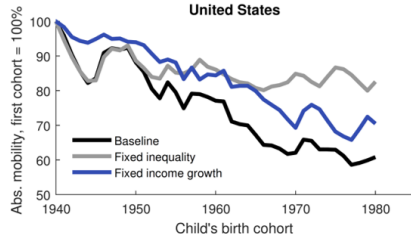
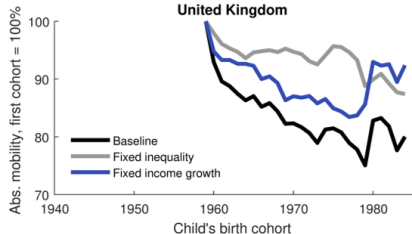
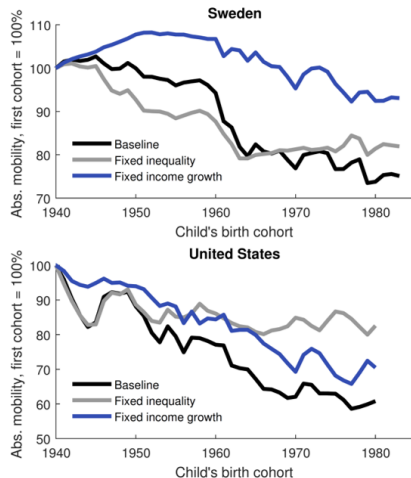
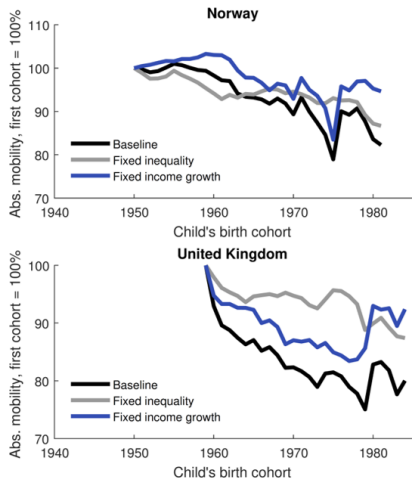
# Mobility in the US



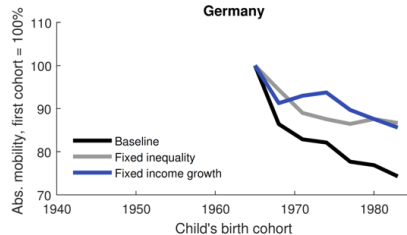
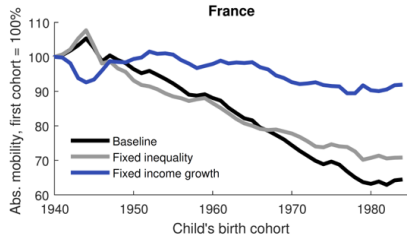
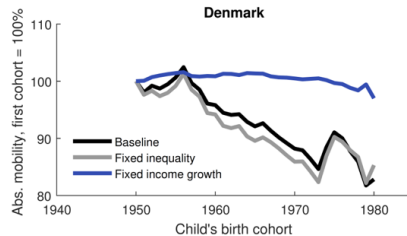
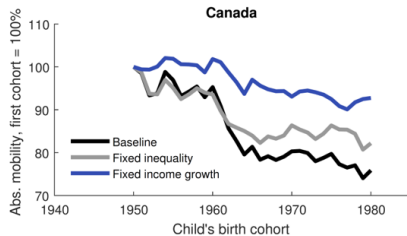
# Mobility in Denmark



# Mobility in Nordic Countries, UK and US



# Mobility in the Canada and Continental Europe



# Restoring the American Dream

- ▶ Main lesson: restoring the American Dream of high rates of upward mobility will require more broadly shared economic growth
- ▶ Need policies that will increase incomes in the bottom and middle of the income distribution

# Restoring the American Dream: Two approaches

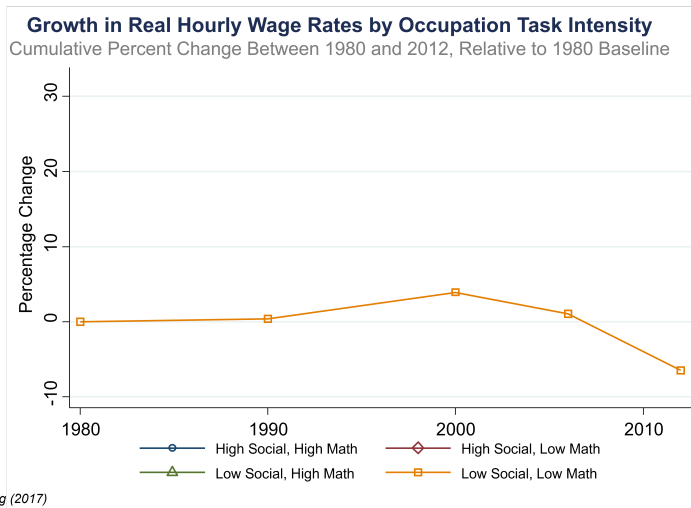
- ▶ Two broad approaches: redistribution (taxes/transfers, min wages) or increasing skills of lower-income Americans (“human capital”)
  1. Piketty and Saez: reductions in top income taxes and erosion of unions and minimum wages have led working-class Americans to fall behind
  2. Goldin and Katz: race between education and technology – need education to keep pace with technological change to increase wage rates



# What is education?

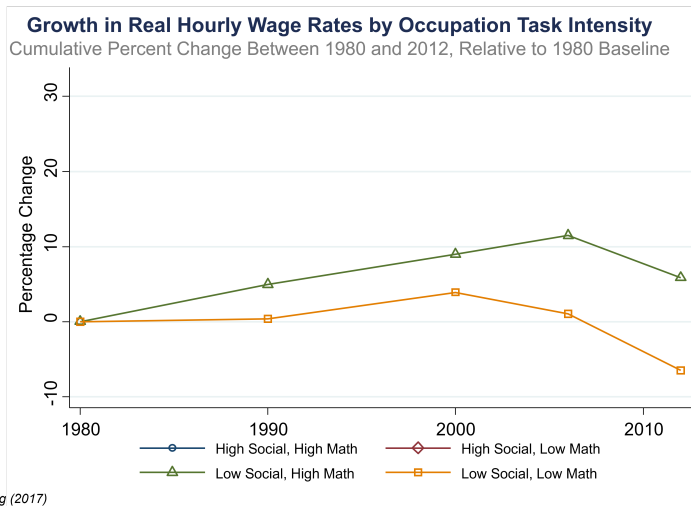
- ▶ We will discuss both tax policy and education in greater detail in later lectures
- ▶ Important note: “education” is not just about technical skills
- ▶ Deming (2018) demonstrates this by investigating how wage rates vary with technical and social skills over time

# Growth in Real Hourly Wage Rates by Occupation Task Intensity



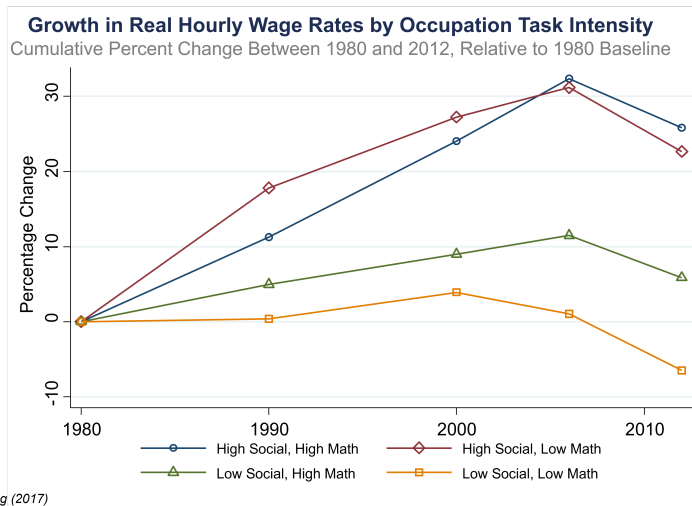
Source: Deming (2017)

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- ▶ Deming (2018) demonstrates this by investigating how wage rates vary with technical and social skills over time
- ▶ Policies to improve such skills could range from changes in education and training programs to housing voucher policies

# Is Increasing Social Mobility Desirable?

- ▶ Thus far we have assumed that our goal should be to increase mobility
- ▶ But policies that increase mobility may not be desirable from an efficiency perspective
- ▶ Random college admissions would maximize social mobility
- ▶ But would violate principle of meritocracy and would likely reduce total economic output and growth
- ▶ Next large topic: Human capital accumulation (role of education)